meesho

meesho DICE CHALLENGE

REDUCING RTO: GETTING MORE ORDERS DELIVERED



The Meesho Menders



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Business Snapshot - Understanding the RTO Challenge

High growth,high order volumes - but RTO remains a key drag, impacting costs,capacity and customer experience.

Key Business Numbers

- **~36 Lakh** order/day (H1 FY26)
- **~₹265** Avg order value (H1 FY26)
- **17% RTO** (80%x20%)+(20%x5%)

Primary Research



35 People interviewed | 22 Customers | 5 Sellers | 8 Riders

Most Common Voices



- *"Kaafi baar ya toh item galat aa jaati hai, ya phir broken hoti hai, ya uske kuch parts missing hote hain."*
- *"Ek baar toh delivery man mera order kisi aur ko dekar chala gaya."*



- *"Helmet bheja tha, return mein same weight ka pathar mila. Rider ne liya ya customer ne, pata nahi—par bada nuksan ho gaya."*



- *"Ek din mein humein bahut saare parcels deliver karne hote hain. Kabhi-kabhi raat tak bhi saare deliveries complete nahi ho paati, toh malik se daant padti hai. "*

Why it Matters

- **₹170** Cost per RTO (Forward:₹50 | Reverse:₹120)
- **41%** of delivery spend is wasted (=₹3,818 Cr/year)
- **Invertory blockage**

Where the Problem Occur



Sellers & First-Mile ~6% of RTO

- ~2.5% Late or missed pickups due to which order arrives after customer's need has passed
- ~2.0% Product doesn't match listing (Photo ,size ,description)
- ~1.0% Damaged or Defective at dispatch
- ~0.5% Handover failures (stolen or left unattended at pickup, parcel lost)



Address & Routing ~15% of RTO

- ~10% Unstructured, incomplete or wrong addresses that riders find difficult to locate (house number, wrong pincode, typos)
- ~3.0% Wrong-hub routing
- ~2.0% First time / new address with no delivery history



Last-Mile Execution ~12% of RTO

- ~7.0% Fake "attempted" marks (no real call or visit)
- ~2.5% Hard or far stops skipped,because pay is per successful delivery
- ~1.5% Doorstep refusal (rider asks customers to come down with rude behaviour)
- ~1.0% Rider-Customer collusion and fraud(fake COD parcels,swapped items)



Customer ~67% of RTO

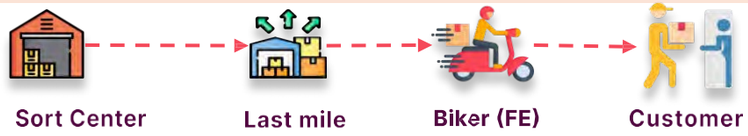
- ~23% Impulse buying or found a better deal
- ~14% Delivery day mismatched(arrived after need passed or cash not ready)
- ~11% Not available at delivery time
- ~11% Can't be contacted(missed calls, phone switched off)
- ~8.0% Try and reject or unrecognised orders

Order journey



From RTO to Resolution- 3 Layer Framework

1 PREVENTION
Stop RTO before Dispatch



Delivery Certainty Toolkit

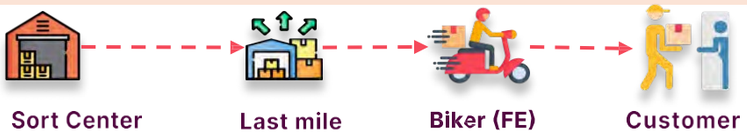
1. Delivery Date Selection
2. Earliest Delivery Check
3. Alternate Phone number
4. Address score visible to the customer to improve on it.

Solves-
Availablity, communication, address uncertainty, orders because of expected early delivery.

Implemented by:
amazon — validates delivery-date selection
Flipkart — validates earliest delivery promise



2 INCENTIVISE AND STRICTNESS
Make successful Delivery Attractive and observe the wrong one



Customer reliability Rewards

1. High CTS→ Amount added in Meesho Wallet.
2. Incentivise prepaid orders.
3. Low Score→ Partial payment on ordering.

Solves-
This reduces COD Dependency and customer induced RTO.

Implemented by-
amazon — Risk-based COD control
Uber — RTO scoring + prepaid nudges

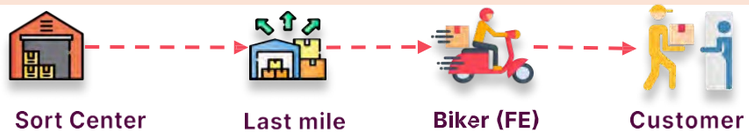
Rider reliability Rewards

1. High- risk areas → more incentive to the rider.
2. Repeated Failures→ low RRS→ warning/ review.

Solves-
Reduces fake successful attempts by the delivery man due to no reviews and low motivation.

Implemented by-
DELHIVERY — rewarding successful delivery performance
my kanjee — successful-delivery incentive

3 RECOVER
Don't let a failed attempt become an RTO.



Near-me Rescue Network

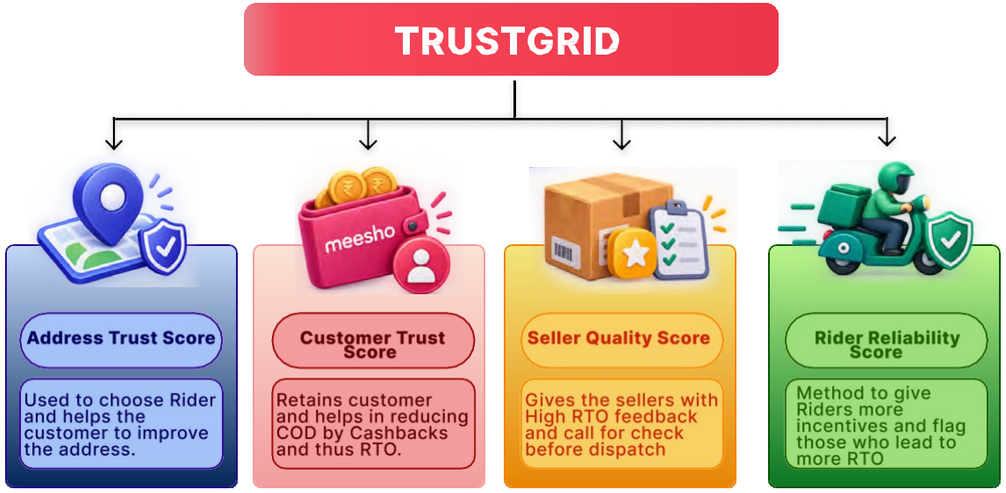
1. Open Instant delivery to the near-by customers at a discounted price.
2. Store the refused items at the hub for 48 hours- available at discounted price.

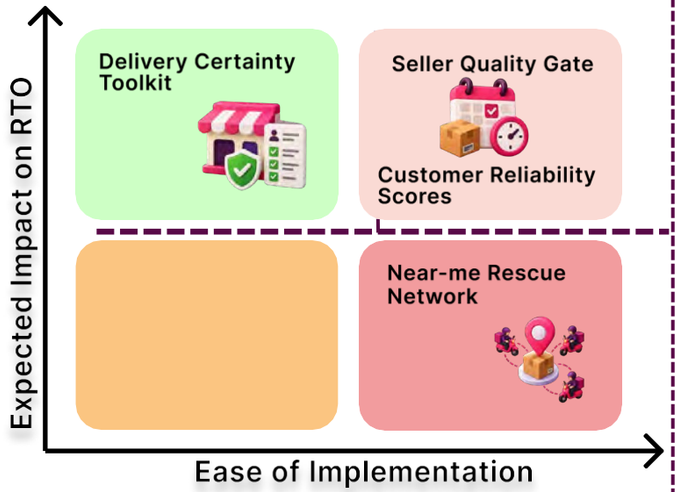
Solves-
Deals with the returned items so that they do not have to travel the whole value chain back to the seller

Implemented by-
meesho — Alternate delivery experiments
Swiggy — Flexible pickup/drop
zomato — Pickup-point order recovery



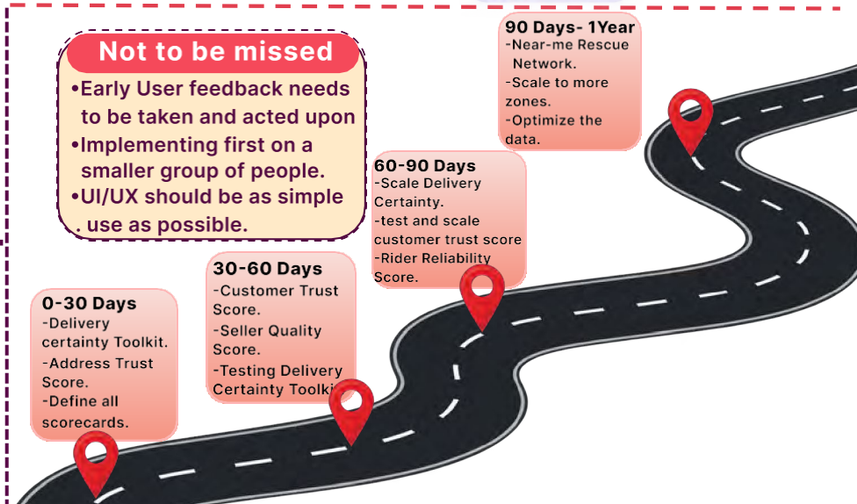
TRUSTGRID





Not to be missed

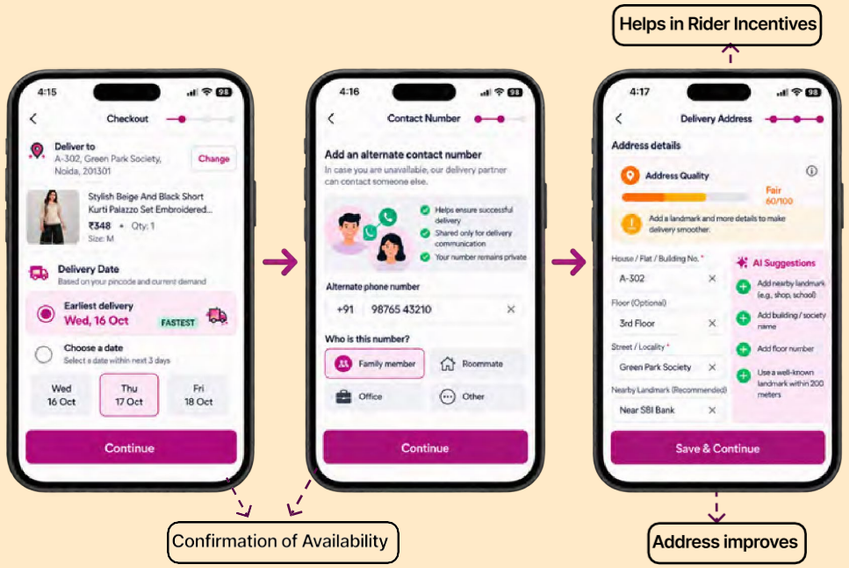
- Early User feedback needs to be taken and acted upon
- Implementing first on a smaller group of people.
- UI/UX should be as simple . use as possible.



The Delivery Certainty Toolkit- 'Right Information. Right Time. Right Person.'

Converting the Uncertain Deliveries into Certain Deliveries - Convert the customer unavailable and communication RTO into successful Deliveries.

RTO Impact
17%(base)- 15%



Intuition Behind it



Competitive Analysis

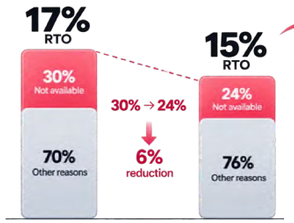
Brands	What are they doing
amazon	1. Offers customers **delivery scheduling options.** 2. Verifies availability before the item is dispatched from hub.
Flipkart	1. **Call confirmation** of order even before the item enters the value-chain. 2. Supports rescheduling when the customer is unavailable
DELHIVERY	1. Uses an **AI-based RTO Predictor** that scores return risk using customer, address, product, payment and location signals.
Swiggy	1. Delivery-partner system makes sure the **rider receives incentives** if delivery is during peak-hours, adverse weather and other performance incentives.

Primary research

Stakeholders	Opinion
Customer	"Bhai jbse hostel mai delivery man ko allow krdia h gurad desk p saaman rkhne ko, tbse koi order miss nhi hua mera"
Delivery man	"Ab utne hi paise k liye dur kon hi jana chahega, swiggy walo ko bhi to milta hi hai jb mausam khrab hota h"

Stakeholder	Positive Impact	Potential Concerns
Customer	Higher delivery certainty, fewer missed deliveries	Slightly longer checkout flow
Rider	Fewer failed attempts, better contactability	More information to follow
Seller	Lower RTO, faster inventory recovery	Possibly slower promised delivery dates
Meesho	Lower logistics cost, better customer experience	Implementation cost & operational complexity
Customer care	Fewer "Where is my order?" queries	

Risk Area	Risk Level	Mitigation
Checkout Friction	High	Keep it simple with optional, 1-click suggestions.
AI Address Accuracy	High	Use hybrid validation; allow user to review and override.
Privacy Concerns	Medium	Clear consent and transparent usage of alternate contact details.
Rider Gaming	Medium	Monitor attempt quality, contact success and delivery outcomes.
Operational Complexity	Medium	Pilot with limited traffic, measure RTO and CSAT, then scale.



1-3 Design
Finalize UI/UX, define date algo and address score model

4-10 Build
Develop UI/APIs and integrate ETA, rider app & address scoring

11-20 Pilot
A/B test on 5–10% traffic, focusing on high-risk segments.

21-25 Measure
Track RTO, contact success, first-attempt success, address score.

26-30 scale
Analyze results and roll out if impact is significant.

Where AI Helps??

Better Address Selection Options

- Score AI rates address quality (e g , Good / Fair / Poor)
- Detect Identifies incomplete or unclear addresses
- Suggest Recommends what to add — landmark, PIN code, building/ society, floor
- Improve User fixes the address before placing the order
- Result Better address → higher delivery certainty → lower RTO

MeeCoins: "Reward every kept order, and ask only habitual refusers for ₹50 upfront."

RTO Impact 17%- ~15.2%

- Order kept
- Lower Return
- Happier Customers



Program Basics

Where Points Go : Credited to Meesho wallet

How to use : Only on prepaid orders

Floor : Lifetime, never resets

Ways to Earn Points / Loss

	Reward	Customer Experience	How it is detected	AI Automation
Ways to Earn Points	1 (Order delivered and kept)	Ordered → Shipped → Out for delivery → Delivered; +20 points Order kept!	Rider's GPS at customer's address when "Delivered" is marked No return requested within the window	• Geofence check on GPS location • Nightly job confirms points after return window • AI GPS-anomaly model flags fake deliveries (wrong location/jumping GPS)
Ways to Earn Points	2 (Customer responds)	Your order arrives tomorrow. Will you be available? Yes / Reschedule; +15 points Thanks for confirming!	Whatspp reply log Ai call logs show customer answered and responded	• AI sends WhatsApp in customer's language • AI reads reply (yes/reschedule/neighbor) and updates rider app • AI voice agent (Vaani) calls after failed attempt and books new attempt
Ways to Earn Points	3 (Review Written)	How was your product? ★★★★★; +10 points Thank you for your review!	Review submitted after delivery	• Automatic credit when review is posted
Loss	4 (Repeated RTO)	Ordered → Shipped → Out for delivery → Returned; -20 points. Keep your next order to earn them back!	System checks the customer's order history for RTOs in the last 30 days If this is the 3rd RTO, points are deducted	• Automatic RTO counter updates on every returned order • Points deducted instantly when the count reaches 3

Tiers & Benefits

Below 0 lifetime score	0–299 lifetime score	300–999 lifetime score	1,000+ lifetime score
Negative	Bronze	Silver	Gold
Habitual refusers	All new customers start here	Frequent shoppers in about **4 months**; average customers in about **1 year**	Frequent shoppers in about **1 year**; average customers in about **3 years**
₹50 advance on COD orders, deducted from the bill and refunded if Valmo or the seller is at fault	**1% cashback** on prepaid orders, up to **₹5** per order	**2% cashback** on prepaid orders, up to **₹15** per order	**3% cashback** on prepaid orders, up to **₹25** per order

Timeline

1	Days 1–10	Design & backtest	Backtest rules on past orders; Seed customer scores & train AI; Set tier cut-offs	Exit check: ~2% in Negative tier; Classifier ≥85% accurate
2	Days 11–30	Build	Points & rules engine; GPS check (delivered and kept); MeeCoins wallet & tier cashback (prepaid only); WhatsApp bot & voice agent; Checkout flow (₹50 advance for Negative tier)	Exit check: Complete flow works in testing
3	Days 31–35	Shadow mode	Calculate points, tiers and deductions live; Check for errors	Exit check: Errors < 5%
4	Days 36–56	A/B test	Launch to 10% users in 2 regions; Compare with control on key metrics	Exit check: Statistically significant result
5	Days 57–60	Go / no-go	Evaluate against KPI targets; Plan rollout if go	Exit check: RTO ↓ ≥ 1.5 pts; Conversion drop ≤ 0.3 pts; Rider earnings not down

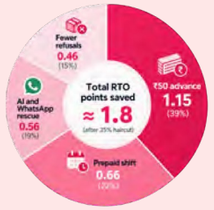
KEY KPIs

- **COD RTO rate** falls by atleast 1.5 points
- **Prepaid share** up 3 points or more
- **WhatsApp reply rate** >50%
- **Rescue rate after AI call** >35%
- **Gold share of prepaid orders** <25%
- **Guardrails** Checkout conversion falls by no more than 0.3 points

Competitive Analysis

Brands	What are they doing
Flipkart	1. Rewards every purchase with **SuperCoins** (2 coins per ₹100 spent). 2. Unlocks **Plus tiers** based on annual orders.
Myntra	1. Insider loyalty programme, now merged with SuperCoins, rewards **purchases and activities**. 2. Return **fee cut** from ₹199–299 to ₹15–30 after customer backlash
GoKwik	1. Gives **loyalty points and discounts** on prepaid orders to shift buyers away from COD. 2. Blocks COD for serial refusers, which helped cut Iconic's RTO from 35% to 8%.

IMPACT



RTO Rate 17% → **15.2%**

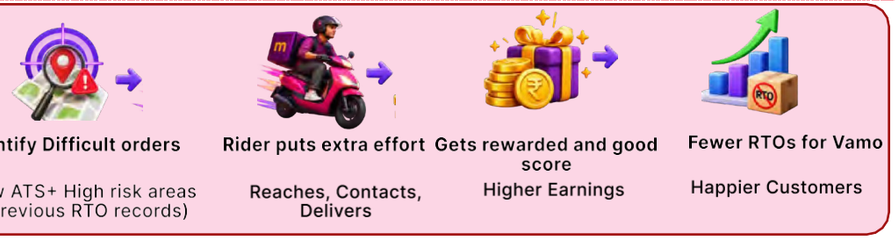
Net Profit ~₹300 cr/yr

Risk Area	Risk Level	Mitigation
Cashback Cost Overrun	High	Per-order caps (₹25 / ₹15 / ₹5); track Gold share, adjust tier cut-offs.
Advance Payment Backlash	High	Only for negative scores; framed "secure your order"; refundable.
Unfair RTO Counting	Medium	Rider, seller and Valmo faults never count; appeal chatbot.
Points Gaming	Medium	GPS-verified deliveries only; one review reward per order.
GPS / WhatsApp Failures	Low	100 m geofence buffer; SMS fallback when WhatsApp fails.

The Rider Reliability Score- 'High Effort. High Reward. LowerRTO.'

Rewarding riders for going the extra mile on every difficult delivery and identifying the one's who are intentionally causing this

RTO Impact
17%(base)- 15.7%



THE INDIA POST

A worked example: Valmo partner earnings

A last-mile partner delivering 80 parcels a day, around 2000 a month, at an average payout of Rs 18 - 25 per successful delivery would gross roughly Rs 30,000 - 60,000 a month. After fuel, a rider's wages and a small storage cost, net earnings might land around Rs 12,000-22,000 in a moderate-density area, rising sharply where order volume is higher.

Expected outcome



Current RTO 17% × Rider-intent share 15% × Expected recovery 50%

Absolute RTO reduction
17% × 15% × 50% = **1.275 pp**

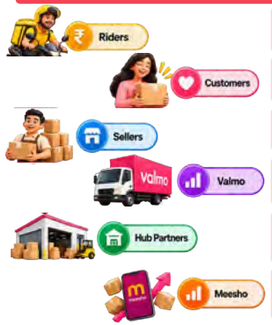
RTO (before) → 17.0%
RTO (after) → 15.7%
7.5% relative reduction

Financial Outcome

Total orders	1,00,000/ day
Current RTOs	17,000
RTOs After	15,725
RTOs avoided	1,275

Cost saved
1,275 x ₹170= ₹2.17 Lakh

Impact on Key Stakeholders

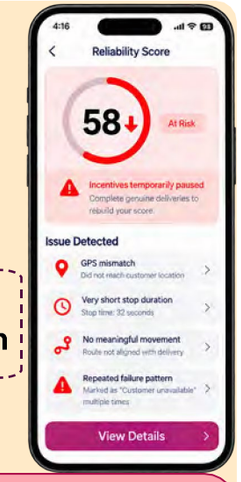


1. ↑ Earnings + rewards - Higher rewards for successfully handling high-risk orders.
2. ↑ Delivery reliability - Fewer failed attempts and RTOs, especially for difficult orders.
3. ↓ RTO losses - Less parcels returned, reduces reverse logistics, inventory blockage
4. ↓ Logistics cost + ↑ Efficiency- Less reverse costs and better last-mile execution.
5. ↓ Operational burden - Fewer failed attempts, re-handling and returned shipments.
6. ↑ Customer trust + ↓ RTO- Better delivery experience, strong logistics economics



How AI Helps in RRS

- **Predicts order risk:** Using ATS, location & history
- **Detects fake attempts:** Via GPS, route & call data
- **Calculates rider score:** With risk-adjusted benchmarks
- **Allocates targeted incentives:** For maximum impact



Normal Deliveries	₹ 25,200 (1400 orders x ₹18)
Special Deliveries	₹ 18,000 (600 orders x ₹30)
Petrol cost	-₹ 8,000
Extra cost for special deliveries	-₹ 3,000

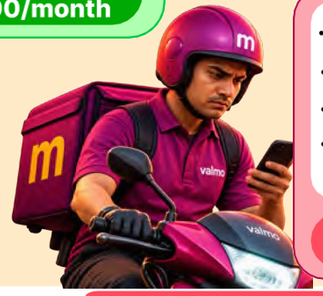
Net earnings
₹ 32,200/month

Total Profit - ₹4,200/ month



Assumptions-



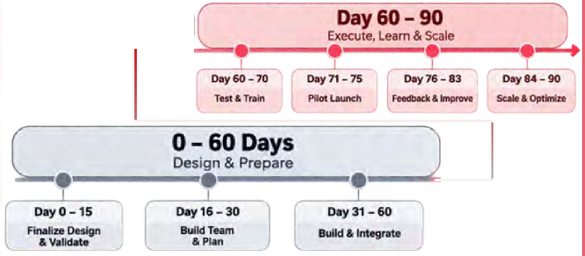


Normal Deliveries	₹ 36,000 (2000 orders x ₹18)
Special Deliveries	-
Petrol cost	-₹ 8,000
Extra cost for special deliveries	-

Net earnings
₹ 28,000/month

Risk Area	Risk Level	Impact	Mitigation
Incentive Gaming Riders may game the system to get higher rewards.	High	Higher cost, no real RTO reduction.	Reward only successful high-risk deliveries, set caps, and use anomaly detection.
Unfair Scoring Riders penalised for failures outside their control.	High	Rider distrust and lower adoption.	Risk-adjusted benchmarks, failure reason classification and dispute mechanism.
High Incentive Cost Incentive payout may exceed logistics savings.	High	Negative ROI, unsustainable at scale.	Dynamic risk-based incentives, strict budget caps and continuous ROI monitoring.
Riders Avoiding Normal Orders Riders may prefer only high-reward orders and reject normal deliveries.	Medium	Imbalanced network and service quality issues.	Keep base pay attractive, give moderate rewards and monitor acceptance behaviour.
Safety & Rushed Deliveries Riders may rush or take unsafe actions to complete more deliveries.	Medium	Accidents, poor customer experience and brand risk.	Do not reward speed, track safety violations and include customer feedback.

KPI	Direction
RTO Rate	↓
High-Risk Delivery Success Rate	↑
Genuine Attempt Rate	↑
Rider Earnings / Order	↑
Incentive Cost / RTO Avoided	↓



The Near-me Rescue Network- 'Give every failed parcel a second chance before actual RTO.'

"Turning every failed delivery into a new opportunity—recovering value locally before it becomes an RTO."

RTO Impact
17%(base)- 15%

Why do this?

1. Normal RTO



Cost breakdown
(RTO)

Forward logistics cost (Seller to customer)	₹50
Reverse logistics cost (Customer to seller)	₹120
Total cost per order	**₹170**

2. Instant Rescue



Instant Rescue
(Same day nearby customer)

Forward logistics cost (Seller to first customer)	₹50
Discount given to new customer (typically)	₹10–100
Total cost per order	**₹60–150**
Savings vs Normal RTO	**₹20–110**

3. 48hr Hub Rescue



48hr Hub Rescue
(Fast local delivery)

Forward logistics cost (Seller to first customer)	₹50
Return to hub cost (Customer to LMDC)	₹25
Discount given to new customer (typically)	₹10–100
Total cost per order	**₹85–175**
Savings vs Normal RTO	**₹0–85**

Process Flow



Delivery attempt failed



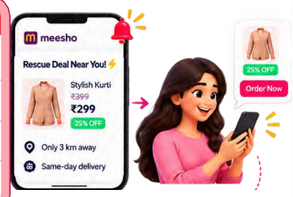
Delivery man notifies the nearby customers

How AI Helps ?

- **Dynamic pricing:** AI will help in determining optimal price for such products, such that they remain profitable
- **Smart geofencing:** A model to find customers within 2-4km and send them notification

Customer purchases at low price and instant delivery

Stage	Typical discount
Instant Rescue (high demand SKU)	10–15%
Instant Rescue (normal SKU)	15–20%
24–48 hours old	20–25%
Final few hours	25–30% (max)





Items stored at nearby hub for 48 hours.

Risk Alert
The risk is that the local hubs are generally very small, they may not have facility to score the returned items for 48 hours, we need to make sure such items are less.

This step involves the cost the Hub to customer Doorstep (so it may not be beneficial for the low priced items



People purchase at lower cost, fast delivery from items at nearby hub



Lower items going back to the seller.

Which items are included in the process and which not?



Categories Included



Direct RTO





KPI	Measures		
RTO Recovery (core impact)	Rescue Rate (%) ↑Higher — % of failed parcels rescued through Near-Me network	RTO Reduction ↑Higher — Reduction in parcels actually sent back to seller	Reverse Cost Avoided (₹) ↑Higher — Total reverse logistics cost saved (₹120 per rescued parcel)
Customer Adoption (Demand/Usage)	Instant Rescue Conversion (%) ↑Higher — % of notified users who place an instant rescue order	48-Hour Sell-through ↑Higher — % of hub items sold within 48 hours	Average Discount (%) ↓Lower — Average discount given to convert a failed parcel
Economics (Profitability)	Net Saving Rescued Parcel(₹) ↑Higher — Net economic benefit per rescued parcel	Rescue Profitability (%) ↑Higher — % margin on rescued orders	Cost per Successful Rescue (₹) ↓Lower — Total operational cost to successfully rescue one parcel
Operational Risk (Efficiency/ Quality)	Time to Rescue (hours) ↓Lower — Time from failed delivery to new customer order	Defective-item Complaint Rate ↓Lower — % of rescued items with customer complaints	Fraud / Manipulation Rate (%) ↓Lower — % of incorrect/abusive usage (e.g. fake RTO)

Implementation Roadmap

0–30 days Design & Validate	31–60 days Pilot	61–90 days Scale Pilot	3–6 months Scale	6-12months National Rollout
Design the solution, define the process, and validate it with initial testing.31–60 days-Pilot	Launch a small-scale pilot in selected locations and measure results.	Expand the pilot to more locations and optimize based on learnings.	Roll out the proven model across a larger network.	Scale the solution nationwide and establish it as a standard process.

Key intuition

The biggest mistake in RTO is treating a failed delivery as a failed product.

The customer may have failed, the address may have failed, but the product is still good and already close to another potential customer.



Delivery failed (NDR reason)

- ✓ Customer refused
- ✓ Unavailable
- ✓ Payment issue
- ✓ Wrong address
- ✓ Contact unreachable

→

Eligible for Rescue?

- ✓ Sealed & undamaged
- ✓ Category allowed
- ✓ Passes basic QC

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meesho

BASELINE ASSUMPTIONS

- **1M** order/month (assumed)
- **17%** Current RTO (Blended)
- **₹50** Forward cost (per order)
- **₹120** Reverse cost (per order)
- **₹170** Cost of one RTO (per order)

0-30 Days — 30-90 Days — 90- 120 Days

The Delivery Toolkit

Timeline Breakdown
- ✓ Ideation and design(0-7)
- ✓ Build(8-21)
- ✓ Testing and pilot(21-30)

Feature implemented — Cost(est).

Feature implemented	Cost(est).
Building team	₹1.2–1.8L
Date selection & rescheduling	₹1.1–1.6L
Earliest delivery date logic	₹1.1–1.6L
Alternate contact number system	₹0.7–1.1L
Address score (rules/analytics)	₹1.7–2.5L
APIs, database & integrations	₹0.9–1.4L
QA & edge-case testing	₹0.8–1.0L
A/B testing setup	₹0.6–0.8L
Analytics instrumentation	₹0.5–0.7L
Bug fixing & iteration	₹1.1–1.5L
Total	**₹9.7–14.0L**

Timeline Breakdown
- ✓ Scaling (30-60)

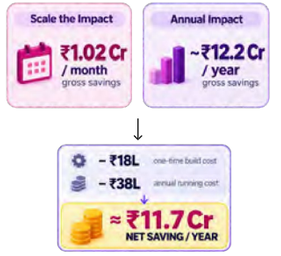
Total Implementation cost

₹15- ₹21 Lakh

Feature implemented — Cost(est).

Feature implemented	Cost(est).
Gradual rollout & production support	₹2–2.5L
Performance optimisation	₹1.0–1.3L
Infrastructure scaling	₹0.6–0.9L
Monitoring & alerting setup	₹0.5–0.8L
Iteration & feature improvement	₹1.2–1.5L
Total	₹6.5-9L





Running Cost (Post Launch – Monthly)

Cloud & Infrastructure	₹1.0–2.0 Lakh
Product & Engineering Support	₹1.0–1.5 Lakh
Analytics, reporting & tools	₹0.3–0.5 Lakh

Total Running Cost (per month): ₹2.3–4.0L

The Reliability Score

Running Cost (Post Launch – Monthly)

Cloud & data infrastructure (storage, database, monitoring)	₹2.2–2.9 L
LModel monitoring & retraining	₹2.4–3.2 L
LProduct & engineering support	₹4.7–6.4 L
LAnalytics, reporting & tools	₹1.5–2.1 L

Total Running Cost (per month): ₹10.8–14.6 L



Timeline Breakdown
- ✓Problem Deep Dive & Requirements (30–35)
- ✓Solution Design & Incentive Framework (36–42)
- ✓Data Pipeline & Model Design (43–50)
- ✓Prototyping & Pilot Plan (51–60)



Feature implemented — Cost(est).

Feature implemented	Cost(est).
Building team	
Total	**₹7.4–9.9 L**



Timeline Breakdown
- ✓Development & Integration (60–70)
- ✓Testing & Pilot Launch (71–80)
- ✓Full Launch & Optimisation (81–90)

Total Implementation cost

₹40- ₹54 Lakh

Feature implemented — Cost(est).

Feature implemented	Cost(est).
ML model development & scoring engine	₹4.8–6.4 L
Backend development (APIs, data pipelines)	₹5.8–7.9 L
Rider app development (UI + features)	₹3.3–4.5 L
Dashboard & analytics platform	₹2.9–4.0 L
QA testing & pilot support	₹3.4–4.7 L
Cloud infrastructure (3 months)	₹2.3–3.1 L
Launch & change management	₹10.2–13.7
Total (Build & Launch)	**₹32.7–44.3 L**

Customer score

Running Cost (Post Launch – Monthly)

Cloud & data infrastructure (compute, storage, monitoring)	₹0.8–1.1 L
Model monitoring & retraining	₹1.2–1.6 L
Product & engineering support	₹3.8–5.1 L
Analytics, CX & payment fees	₹3.5–4.7 L

Total Running Cost (per month): ₹9.3–12.5 L

Key Assumptions
- Use existing Meesho app & backend infrastructure
- Address score is rules/analytics based (no new ML model)
- Costs are opportunity cost of internal/market rates (2026)
- No major SMS/telephony or customer incentive cost
- Cloud cost is usage-based
- Implementation time 0–60 days (30 days till testing, 30–60 days scaling)

Timeline Breakdown
- ✓ Problem Deep Dive & Requirements (30–35)
- ✓ Model Design & Rules Engine (36–42)
- ✓ Product Development & Integration (43–50)
- ✓ Internal Testing & Pilot Readiness (51–60)

Feature implemented — Cost(est).

Feature implemented	Cost(est).
Building team	
Total	**₹7.4–9.9 L**



Timeline Breakdown
- ✓ Pilot Launch (5–10%) (60–70)
- ✓ Scale & Iterate (71–80)
- ✓ Full Launch (81–90)

Total Implementation cost

₹39.6–53.3 L

Feature implemented — Cost(est)

Feature implemented	Cost(est)
Model refinement & performance tuning	₹3.6–4.8 L
Additional backend integrations & scaling	₹5.1–7.0 L
UI changes & customer communication	₹3.5–4.7 L
A/B testing, pilot operations & analysis	₹3.7–5.1 L
Full rollout & change management	₹3.8–5.2 L
QA, monitoring & bug fixes	₹3.1–4.1 L
Total (Build & Launch)	**₹22.8–30.9 L**

Near-me rescue network

Running Cost (Post Launch – Monthly)

Cloud, maps & notifications	₹2.2–3.0 L
Model monitoring & retraining	₹1.2–1.6 L
Product & engineering support	₹6.0–8.2 L
Hub ops & dispatch desk (4 FTE)	₹3.4–4.6 L
Analytics, reporting & tools	₹0.9–1.3 L

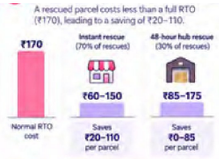
Total Running Cost (per month): ₹13.7–18.7 L

Timeline Breakdown
- ✓ Problem Deep Dive & Requirements (30–35)
- ✓ Solution Design & Architecture (36–42)
- ✓ Product Development & Integration (43–50)
- ✓ Testing & Pilot Readiness (51–60)



Feature implemented — Cost(est).

Feature implemented	Cost(est).
Building team	
Total	**₹18.9–25.4 L**



Timeline Breakdown
- ✓ Pilot Launch (5–10%) (60–70)
- ✓ Scale & Iterate (71–80)
- ✓ Full Launch (81–90)

Total Implementation cost

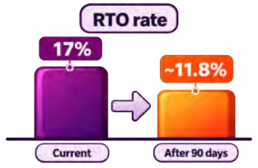
₹44–59 L

Feature implemented — Cost(est).

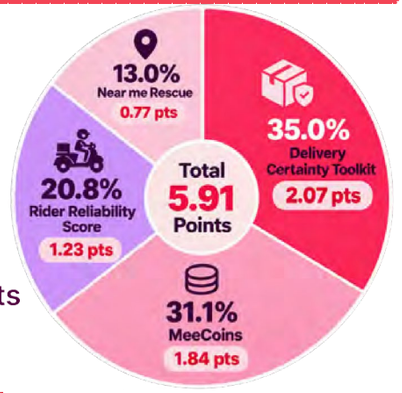
Feature implemented	Cost(est).
Model & matching engine refinement	₹3.6–4.8 L
Backend integrations (inventory, hubs, riders)	₹4.6–6.2 L
Customer app notifications/pricing engine	₹3.1–4.1 L
Rider app features & allocation logic	₹2.3–3.0 L
Hub operations integration & dashboards	₹3.7–5.1 L
QA testing & pilot support	₹1.9–2.6 L
Rollout, training & change management	₹6.0–8.0 L
Total (Build & Launch)	**₹25.2–33.8 L**

EXECUTIVE SUMMARY

Valmo loses about
₹3,818 Cr/year to RTO
Fully 41% of its delivery spend goes to parcels that come back



Net after overlap: 5.20 pts → RTO 17% → 11.8%



RTO Cause	Final%	Basis + Calculation
Customer Intent	45%	37% refused + 5% cash not ready (industry) + *3% Meesho adjustment
Reachability	22%	28% not available + 6% phone unreachable (industry) − 9% fraud correction − *3% Meesho adjustment
Address & Routing	15%	14% address issues + 1% wrong hub (industry)
Rider Execution	12%	3% rider issues (industry) + 9% shifted from Reachability (fraud correction; conservative 12–15% RTO)
Seller	6%	6% damaged/wrong item/late dispatch (industry)

*Meesho adjustments: +3 pts to Intent / −3 pts Reachability based on COD-heavy orders, slower delivery and price-sensitive buyers.
Source base: Goswift, Base.com, Bepragma & eShipz industry NDR reports; fraud adjustment from courier verification case study.

Rider Reliability Score

Metric	Fake attempts	Skipped stops	Conduct	Collusion	Hard addresses
Share of RTO	7%	2.5%	1.5%	1%	6%
Fix rate	60%	50%	20%	30%	20%
Share fixed	4.2%	1.25%	0.3%	0.3%	1.2%
Points saved	0.71	0.21	0.05	0.05	0.20

Points Saved = 17 × shared fixed
Total Points saved = **1.23**

1 Key Assumptions Used

Assumptions	Value	
Meesho orders shipped per day(O_M)	63.2 Lakh	FY26: 2,305 M / 365 (estimate from Meesho results)
Valmo orders per day (O_V)	36.2 Lakh(~57%)	[696 M (H1) + 52% x 1,205 M (H2)] / 365
COD share of orders (C)	80%	Case data pack
RTO rate: COD / prepaid/blended(R)	20% / 5%/17%	R = c x 20% + (1 - c) x 5% = 0.8 × 20% + 0.2 × 5%
Forward / reverse cost per order	₹50 / ₹120	Case data pack; C_RTO = 50 + 120;S = C_RTO - C_fwd
Valmo RTOs per day	6.2 Lakh	O_V x R = 36.2 L x 17%
Annual Valmo RTO cost	₹3818 Cr	O_V x R x C_RTO x 365
Share of delivery spend wasted	41%	(17% x 170) / (83% x 50 + 17% x 170)
COD share of RTO	94%	(0.8 × 20%) / 17%
Value of 1 RTO point (V_pt)	₹158.6 Cr (Valmo) / ₹ 276.8 Cr (Meesho)	O x 1% x S x 365
Average order value; contribution margin	₹265; 4%	Meesho FY26 results; Q4 FY26
Last-mile riders; rider pay per delivery	₹18; 1.2 lakh	Meesho Q4 FY26; India Post (Rs 18-25)
Fix rate; MeeCoins overlap haircut	Adoption x effectiveness; 0.65	Standard method; levers act on the same customers

Master formula: Net impact = (RTO points saved x V_pt) + other gains - costs

Delivery Certainty Toolkit

Metric	Alt. no.	Date selection	Earliest delivery	Al address	Al hub check
Slice targeted (pts)	1.87	1.87	1.36	2.04	0.51
Adoption	60%	40%	40%	50%	8%
Effectiveness	67%	75%	75%	30%	8%
Fix rate	40%	30%	30%	15%	8%
Points saved	0.75	0.56	0.41	0.31	0.04

Fix rate= adoption * effectiveness ; Points saved=slice targeted * fix rate
Total Points saved = **2.07**

MeeCoins

Metric	Prepaid Shift	Fewer refusals	Rs 50 advance	Reply rewards
Formula	c x (1 - q) x s x (r_nf - r_sw)	pts_intent x 6%	c x q x [r_f - (1 - a) x r_f']	pts_reach x 15%
Calculation	0.8 × 0.95 × 0.07 x (18.4% - 6%)	7.65 × 6%	0.8 × 0.05 x (50% - 0.85 × 25%)	3.74 × 15%
Points saved	0.66	0.46	1.15	0.56

Where c = COD share (80%), q = refusers' share of COD orders (5%), s = switch rate (7%), r_nf = RTO of non-refuser COD orders (18.4%), r_sw = RTO after switching to prepaid (6%), r_f / r_f' = refuser RTO before / after the advance (50% / 25%), a = abandonment (15%)

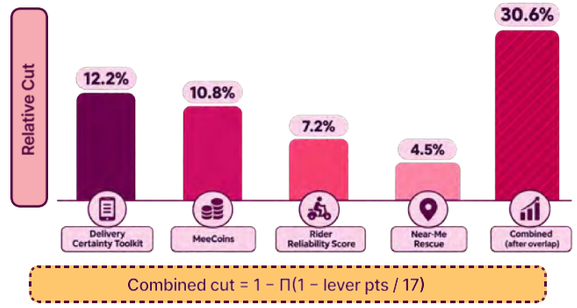
Total Points saved = 2.83 x 0.65 haircut = **1.84**

Near me Rescue

Metric	Instant rescue	48-hour hub rescue
RTO rate (points)	17	17
Undamaged, not seller-fault	× 94%	× 94%
Fast-moving, with local demand	× 40%	× 40%
Sold within the window	× 4%	× 4%
RTO points avoided	0.26	0.51

- Instant rescue: 17 × 0.94 × 0.40 × 0.04 = 0.26
- 48-hour hub rescue: 17 × 0.94 × 0.40 × 0.08 = 0.51

Total Points saved = **0.77**



Combined cut = 1 − Π(1 − lever pts / 17)

Naye rangon me...

Lo Aaya Meesho

beyond borders for every Bharat



Thank You



Har ghar tak fashion



Har sapne tach savings



Har roz kuch naya



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